Consumer Behaviour

Detailed Study Notes

Module 6

Marketing Communications, Decision-Making Models and Consumer Rights

Course Faculty

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Compiled by

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Topics covered in this module

1. Marketing Communication Process
2. Types of Communication Systems: interpersonal, impersonal, persuasive
3. Consumer Decision-Making Models: Black Box, Economic, Howard, Howard–Sheth, EKB, Webster and Wind, Sheth Industrial Buyer Behaviour
4. Consumer Protection Act, 1986 (with the Consumer Protection Act, 2019 that replaced it)
5. Rights of Consumers

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1 Marketing Communication Process

1.1 Meaning of Communication

Communication

Communication is the **process of passing information, ideas or feelings from a sender to a receiver** so that the receiver understands the message in the way the sender meant. The word comes from the Latin *communis*, meaning "to share".

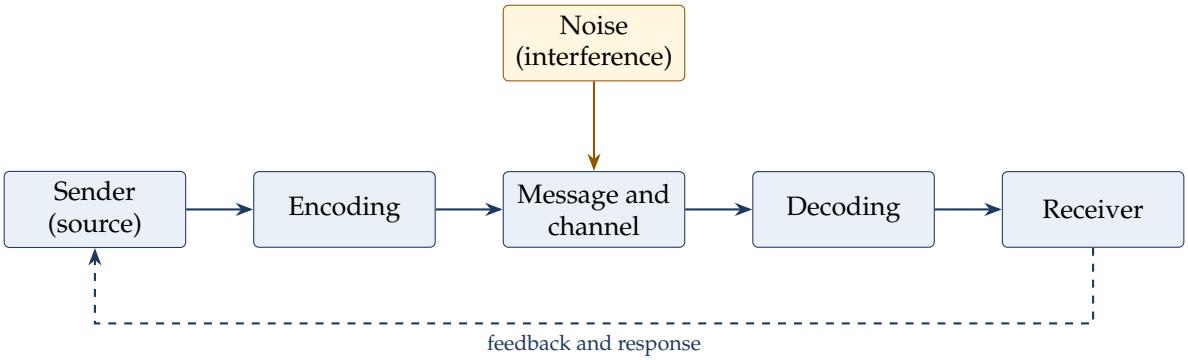
Marketing Communication

Marketing communication is the **means by which firms inform, persuade and remind consumers**, directly or indirectly, about the products and brands they sell. It is the "voice" of the brand and a way to build a relationship with consumers.

1.2 Objectives of Marketing Communication

- **To inform**: create awareness of new products, features, prices and where to buy.
- **To persuade**: build preference, change attitudes and encourage purchase.
- **To remind**: keep the brand in memory and encourage repeat buying.
- **To reassure**: reduce doubts after purchase (dissonance) and build trust.
- **To differentiate**: position the brand against competitors.
- **To build relationships**: loyalty, community and advocacy.

1.3 Elements of the Communication Process



Element	Meaning	Example
Sender (source)	The firm or person who wants to communicate	A brand, celebrity, salesperson
Encoding	Turning the idea into words, pictures, symbols, sound	Ad copy, visuals, jingle
Message	The content that the sender wants to give	"Fresh and chemical-free"
Channel (medium)	The path through which the message travels	TV, social media, shop display
Decoding	The receiver interprets the symbols	Consumer understands the ad
Receiver	The audience who gets the message	Target consumers
Noise	Anything that distorts the message	Clutter, poor signal, language gap, distraction
Feedback	The receiver's reply to the sender	Enquiry, purchase, complaint, "like" or "share"
Response	Action by the receiver after decoding	Awareness, preference, purchase

1.4 Field of Experience (Schramm's Idea)

Communication succeeds only when the **field of experience** of the sender and the receiver **overlaps**: they must share language, culture, symbols and meanings. If the two have little in common, the message is misunderstood. So marketers must know the target audience and speak in their language.

1.5 Steps in Developing Effective Marketing Communication

1. **Identify the target audience**: who should receive the message.
2. **Determine the communication objectives**: awareness, knowledge, liking, preference, conviction, purchase.
3. **Design the message**: content (what to say), structure (how to say it logically), format (how to say it symbolically) and source (who says it).
4. **Select the communication channels**: personal and non-personal.
5. **Set the promotion budget**: affordable method, percentage of sales, competitive parity or objective-and-task method.

6. **Decide the promotion mix**: advertising, sales promotion, public relations, personal selling and direct and digital marketing.
7. **Measure the results**: recall, recognition, attitude, sales, return on investment.
8. **Manage the integrated communication** so all messages are consistent.

1.6 Promotion Mix (Communication Tools)

Tool	Description	Nature
Advertising	Paid, non-personal presentation of ideas through media	Impersonal; wide reach
Personal selling	Face-to-face presentation to make sales	Interpersonal; high persuasion
Sales promotion	Short-term incentives to encourage trial or purchase (coupons, discounts, free gifts, contests)	Mostly impersonal
Public relations and publicity	Building good relations with the public through news, events, sponsorships	Impersonal; high credibility
Direct and digital marketing	Direct contact with consumers by mail, phone, email, apps, social media	Can be personalised

1.7 Integrated Marketing Communication (IMC)

IMC is the **coordination of all promotion tools and messages** so that the consumer receives one clear, consistent message about the brand at every touchpoint. Benefits: stronger brand image, less waste, greater impact, and a better consumer experience.

1.8 Models of Consumer Response to Communication

Stage type	AIDA	Hierarchy of effects	Innovation adoption	Meaning
Cognitive (think)	Attention	Awareness, knowledge	Awareness	Knowing
Affective (feel)	Interest, desire	Liking, preference, conviction	Interest, evaluation	Feeling
Behavioural (do)	Action	Purchase	Trial, adoption	Doing

AIDA: **A**ttention → **I**nterest → **D**esire → **A**ction. The **hierarchy of effects** (Lavidge and Steiner) has six steps: awareness, knowledge, liking, preference, conviction and purchase. The two are used to set objectives and to measure advertising results.

1.9 Barriers to Effective Communication (Noise)

- **Selective perception**: audience notices, distorts or forgets the message.
- **Clutter**: too many ads competing for attention.
- **Language and cultural differences**: wrong symbols, translations, colours.
- **Poor encoding**: confusing or unclear message.
- **Wrong medium** for the target audience.

- **Source credibility problems**: audience does not trust the sender.
- **Technical noise**: poor audio or video, slow websites, network issues.
- **Absence of feedback**: the sender cannot learn if the message was understood.

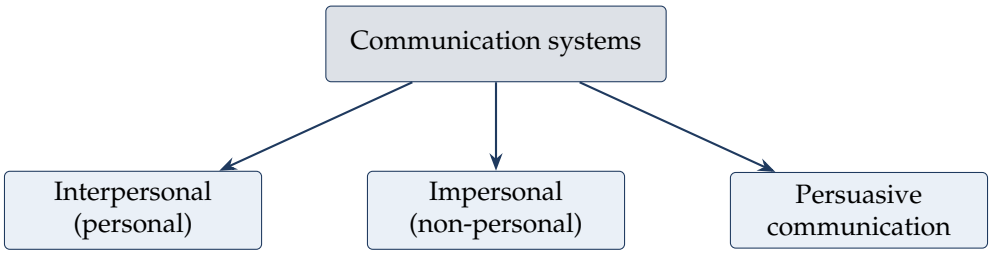
Overcoming barriers: know the audience, keep the message simple and clear, use suitable language and symbols, repeat, choose the right channels, use credible sources, and collect feedback.

Exam Tip

In the exam, always draw the communication model with **noise and feedback**, then explain each element with a marketing example.

2 Types of Communication Systems

Marketing messages reach consumers through two main systems, **interpersonal** and **impersonal**. A third idea, **persuasive communication**, concerns the purpose and design of the message in both systems.



2.1 Interpersonal Communication

Interpersonal Communication

Interpersonal communication is a **direct, two-way exchange of messages between two or more people**, either face to face or through a medium such as telephone, chat or video call. It allows immediate feedback.

Forms of interpersonal communication

- **Personal selling**: salespeople presenting and answering questions.
- **Word of mouth (WOM)**: friends, family and colleagues sharing opinions.
- **Opinion leaders**: people whose advice others follow.
- **Customer service** via telephone, chat, email, video.
- **Direct and telemarketing**, and one-to-one messaging.
- **Online peer communication**: reviews, forums, social media comments (electronic word of mouth).
- **Events, demonstrations and exhibitions** where representatives meet consumers.

Features and advantages

- **Two-way and flexible**: the message can be adjusted to the consumer's reactions.

- **Immediate feedback** and chance to answer doubts.
- **More persuasive and credible**, especially when the source is a friend or expert.
- Helps in **building relationships and trust**.
- Can **close the sale** on the spot.

Limitations: costly per contact, limited reach, difficult to control the message (especially WOM), and quality depends on the person delivering it.

2.2 Impersonal (Mass) Communication

Impersonal Communication

Impersonal communication is the **transfer of messages to many people at once through a mass medium**, with no direct personal contact between the sender and each receiver. Feedback is slow, indirect or absent.

Forms (media)

- **Print**: newspapers, magazines, brochures, flyers.
- **Broadcast**: television, radio.
- **Outdoor and transit**: hoardings, posters, bus and metro branding.
- **Digital and online**: websites, display ads, search ads, video platforms, social media posts, email blasts.
- **Point-of-purchase displays**, packaging and signage.
- **Sales promotion material**, public relations and sponsorships.

Features and advantages

- **Wide reach** at low cost per person.
- **Control over the message**: the same message is repeated across audiences.
- Builds **awareness and brand image** quickly.
- Can use **sound, sight and motion** creatively.

Limitations: one-way and impersonal, low credibility compared with personal sources, high clutter, difficult to measure the effect, and total cost can be high.

2.3 Comparison: Interpersonal vs. Impersonal

Basis	Interpersonal	Impersonal
Direction	Two-way	Mostly one-way
Audience	Individual or small group	Large, mass audience
Feedback	Immediate	Delayed, indirect or none
Message control	Low (varies by person)	High (same for all)
Cost per contact	High	Low
Credibility	High, especially friends and experts	Lower; seen as commercial
Persuasive power	Strong; can adapt to the person	Weaker, but builds awareness
Reach and speed	Limited	Wide and fast
Examples	Salesperson, word of mouth, call centre	TV, newspaper, hoarding, banner ad

2.4 Interaction of the Two Systems

Two-step and multi-step flow of communication. Mass media messages first reach **opinion leaders**, who then discuss them with others (two-step flow). In reality information flows in many directions among media, leaders and followers (multi-step flow). So marketers combine mass media (for awareness) with personal influence (for conviction) and online communities (for both).

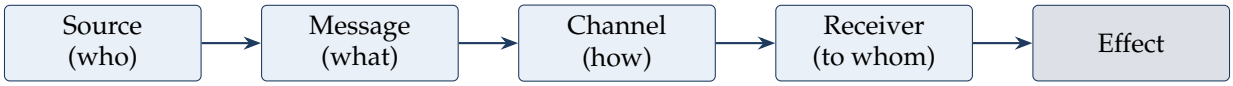
2.5 Persuasive Communication

Persuasive Communication

Persuasive communication is a message **designed to change or reinforce the attitudes, beliefs or behaviour** of the audience in favour of the marketer's product or idea.

Elements of Persuasion (Hovland's Yale Model)

Who says what, through which channel, to whom, and with what effect?



1. The Source.

- **Credibility**: made up of *expertise* (knowledge) and *trustworthiness* (honesty). A credible source is more persuasive, especially when the audience is doubtful or unfamiliar with the product.
- **Attractiveness**: physical appeal, likeability, similarity to the audience.
- **Power**: ability to reward or punish (used in selling).
- **Types of sources**: celebrities, experts, typical consumers, company executives, animated or brand characters.
- **Sleeper effect**: over time people may forget the source of a message but remember the message.
- **Matching source to product**: a doctor for medicines, a sportsperson for sportswear.

2. The Message.

- **One-sided vs. two-sided messages**. One-sided messages give only the good points and work for loyal or unaware audiences. Two-sided messages mention small drawbacks along with benefits and gain credibility, especially with educated or sceptical audiences and when competitors may attack.
- **Message appeals**:
  - *Rational appeals*: facts, price, quality, performance (cars, appliances, insurance).
  - *Emotional appeals*: love, pride, joy, nostalgia, belonging (jewellery, gifts, festivals).
  - *Fear appeals*: highlight negative results of not using the product (health, safety, insurance). Moderate fear works best; too much fear is ignored.
  - *Humour appeals*: attract attention and liking but may overshadow the brand.

  - *Sex appeals*: attract attention but may distract and offend.
  - *Moral appeals*: appeal to right and duty (social causes).
- **Order of presentation**: *primacy* (strongest point first) is used when the audience is not interested; *recency* (strongest point last) when the audience is interested.
- **Drawing conclusions**: explicit conclusion for low-involvement audiences; allow the audience to conclude for educated, involved audiences.
- **Repetition**: builds familiarity and memory, but too much leads to wear-out.
- **Comparative advertising**: compares brands directly; effective for new or challenger brands but must be fair and truthful.
- **Framing**: the same fact can be presented as a gain ("90% fat-free") or a loss ("10% fat").

3. The Channel (Medium). Personal channels (more persuasive for high-involvement and risky purchases) and non-personal channels (better for awareness). The medium should match the audience and the message.

4. The Receiver (Audience).

- **Involvement**: high-involvement audiences scrutinise arguments; low-involvement audiences notice cues.
- **Prior attitude**: people resist messages against their strong beliefs.
- **Personality and self-esteem**: some are more persuadable.
- **Knowledge**: knowledgeable consumers need detailed arguments.

Elaboration Likelihood Model (ELM)

Petty and Cacioppo's ELM explains **how persuasion works depending on how much the receiver thinks**.

	Central route	**Peripheral route**
When used	High involvement, high motivation and ability	Low involvement or low ability
Processing	Careful thought about arguments and facts	Quick judgement using simple cues
Persuasion based on	Quality and strength of arguments	Source attractiveness, music, packaging, number of arguments, celebrity
Attitude change	Stronger, long-lasting	Weaker, short-lived
Example	Buying a laptop or insurance	Buying a soft drink or soap

Marketing Use of Persuasive Communication

- Select credible and suitable **endorsers**.
- Choose the appeal (rational, emotional, fear, humour) to suit the **product and audience**.
- Use **central route** messages for complex products and **peripheral cues** for simple ones.
- Build **two-sided or comparative** messages with care.

- Follow **ethical rules**: avoid misleading claims, exploiting fear, or targeting children unfairly.

3 Consumer Decision-Making Models

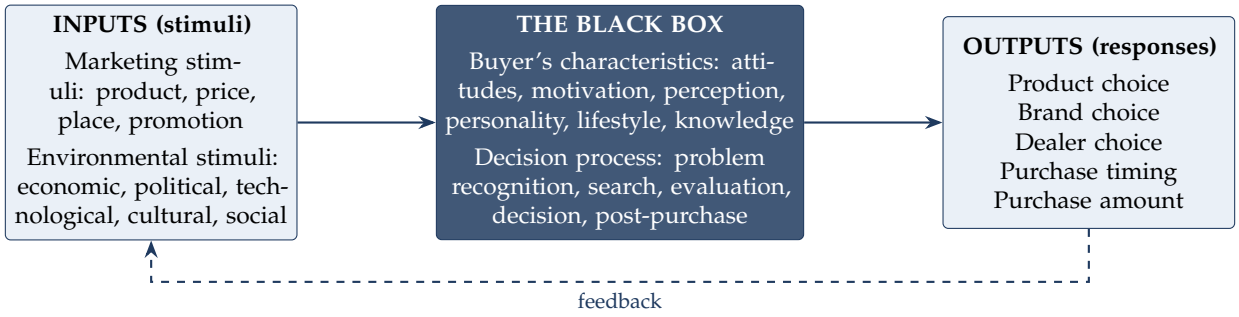
3.1 Meaning and Purpose of Models

A **consumer decision-making model** is a **simplified picture of how consumers make buying decisions**: it shows the inputs, the mental processes, and the outputs. Models help marketers to **understand, explain and predict** consumer behaviour and to plan marketing strategy.

Model	Type	Main focus
Black Box Model	Stimulus–response	Inputs and outputs; mind is a "black box"
Economic Model	Rational choice	Utility maximisation
Howard Model (1963)	Learning-based	Types of choice behaviour: EPS, LPS, RRB
Howard–Sheth Model (1969)	Comprehensive, learning	Inputs, hypothetical constructs, outputs
EKB Model (1968)	Decision process	Stages plus influencing variables
Webster and Wind Model (1972)	Organisational buying	Four sets of variables; buying centre
Sheth Industrial Buyer Model (1973)	Organisational buying	Joint and autonomous decisions; conflict resolution

3.2 Black Box Model

The Black Box Model (stimulus–organism–response, S-O-R) treats the **consumer's mind as a "black box"**, whose inner working cannot be seen directly. The marketer can only observe the **inputs (stimuli)** that go in and the **outputs (responses)** that come out, and then *infer* what happens inside.



Features

- Based on **behaviourist psychology** (stimulus and response).
- The **inputs** are the marketing mix (4 Ps) and the environment.
- The **black box** contains two parts: *buyer characteristics* (cultural, social, personal and psychological) and the *decision process*.
- The **outputs** are the observable purchase decisions: what, which brand, from whom, when and how much.
- It is a **general framework**, used by Kotler and others to explain buyer behaviour.

Evaluation

Strengths	Limitations
Simple and easy to understand	Does not explain *how* the mind works
Links marketing actions to consumer response	Cannot predict individual behaviour
Useful for studying observable behaviour and planning the marketing mix	Ignores unconscious and emotional processes in detail
Shows the role of environment and personal factors	Very general; limited use for deep consumer insight

3.3 Economic Model

The Economic Model (associated with **Alfred Marshall** and the classical and neoclassical economists) views the buyer as a **rational "economic man"** who tries to get the **maximum satisfaction (utility)** from his or her limited income.

Assumptions

- The consumer is **rational** and has **complete information** about products, prices and alternatives.
- The consumer has **fixed tastes and a limited income** (budget).
- The consumer **compares price and utility** and chooses the combination that gives the highest total satisfaction.
- Each additional unit of a good gives less additional satisfaction (**law of diminishing marginal utility**).
- Consumers behave **independently** of others.

Key Principles

- **Utility maximisation**: choose the basket of goods with the highest total utility within the budget.
- **Equi-marginal principle**: satisfaction is greatest when the marginal utility per rupee is equal across goods.

Condition for Consumer Equilibrium

$$\frac{MU_x}{P_x} = \frac{MU_y}{P_y} = \cdots = \frac{MU_n}{P_n}$$

where MU is the marginal utility of a good and P is its price.

- **Demand law**: if the price of a good rises, quantity demanded falls (other things equal). Demand also depends on income, price of substitutes and complements, and tastes.

Evaluation

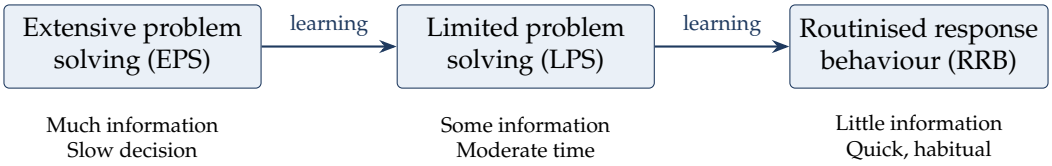
Strengths	Limitations
Explains the role of **price and income** in demand	Consumers rarely have **complete information**
Simple and logical; basis of demand theory	Ignores **psychological, social and cultural** influences
Useful for pricing decisions	**Emotions, habit, impulse** and brand loyalty are ignored
Provides a benchmark of rational behaviour	Consumers often **satisfice** rather than maximise (bounded rationality)

3.4 Howard Model (1963)

John A. Howard's early model, presented in *Marketing Management: Analysis and Planning* (1963), explains **how buyers learn** to choose brands as they gain experience. It focuses on **how the extent of decision making changes over time** with repeated purchases.

Main Ideas

- Buying behaviour is a **learning process**: knowledge about brands grows through experience, advertising and information.
- A buyer faces three types of choice situations:
  - **Extensive Problem Solving (EPS)**: a new product category; the buyer has no criteria or brand knowledge and searches widely.
  - **Limited Problem Solving (LPS)**: the buyer knows the product class and some brands, and compares a few.
  - **Routinised Response Behaviour (RRB)**: the buyer is familiar with the category and brands, has clear criteria, and buys quickly and habitually.
- With repeated purchases and satisfaction, behaviour moves **from EPS → LPS → RRB**.



Components Described by Howard

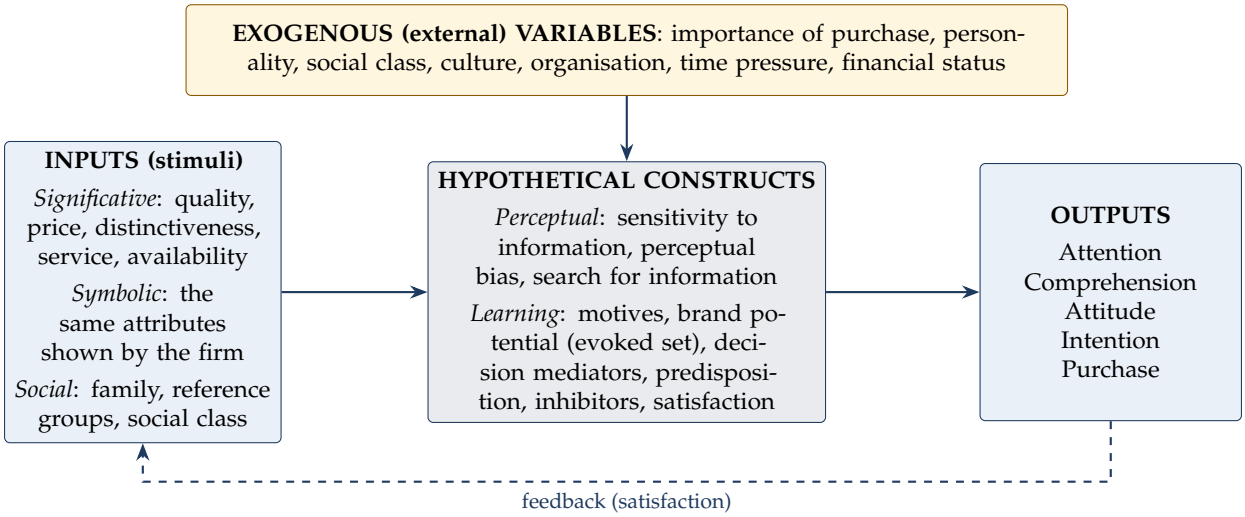
- **Motives**: needs that drive behaviour.
- **Alternatives**: the brands the buyer knows (the evoked set).
- **Choice criteria**: standards for judging brands.
- **Decision mediators**: mental rules that link motives, criteria and brands.
- **Brand comprehension, attitude, intention and confidence**.
- **Satisfaction**: feedback after purchase that strengthens or weakens brand preference.

Evaluation

Strengths: emphasises learning and experience; explains habitual and brand-loyal behaviour; useful for deciding information needs at each stage. **Limitations:** it is older and less detailed; it does not include social and cultural factors in depth; and it is difficult to test.

3.5 Howard–Sheth Model (1969)

Developed by **John A. Howard and Jagdish N. Sheth** in *The Theory of Buyer Behavior* (1969), this is a **comprehensive model of brand choice** that shows how buyers move through EPS, LPS and RRB, and how learning builds over repeated purchases. It integrates inputs, mental processes (hypothetical constructs), outputs and outside influences.



Parts of the Model

1. Inputs (stimuli)

- **Significative (physical) stimuli**: actual brand features such as quality, price, distinctiveness, service and availability.
- **Symbolic stimuli**: the mass-media or sales communication of these features by the firm.
- **Social stimuli**: information from family, friends, reference groups and social class.

2. Hypothetical constructs (inside the buyer)

- **Perceptual constructs** (how information is handled):
  - *Sensitivity to information*: control over how much information is allowed in.
  - *Perceptual bias*: distortion of information to fit the buyer's existing frame of reference.
  - *Search for information*: active seeking of more information when uncertain.
- **Learning constructs** (how decision-making knowledge is built):
  - *Motives*: specific goals linked to needs.
  - *Brand potential (evoked set)*: the brands that are considered.
  - *Decision mediators*: rules used to match motives with brands.
  - *Predisposition*: the preference for a brand (attitude).

  - *Inhibitors*: forces that restrain buying (price, time pressure, lack of availability, social pressure).
  - *Satisfaction*: post-purchase feedback that changes attitude and confidence.

3. Outputs (responses)

- **Attention** → **Comprehension** (knowledge about the brand) → **Attitude** (evaluation of brand) → **Intention** (plan to buy) → **Purchase** (actual behaviour).

4. Exogenous variables (outside the main loop)

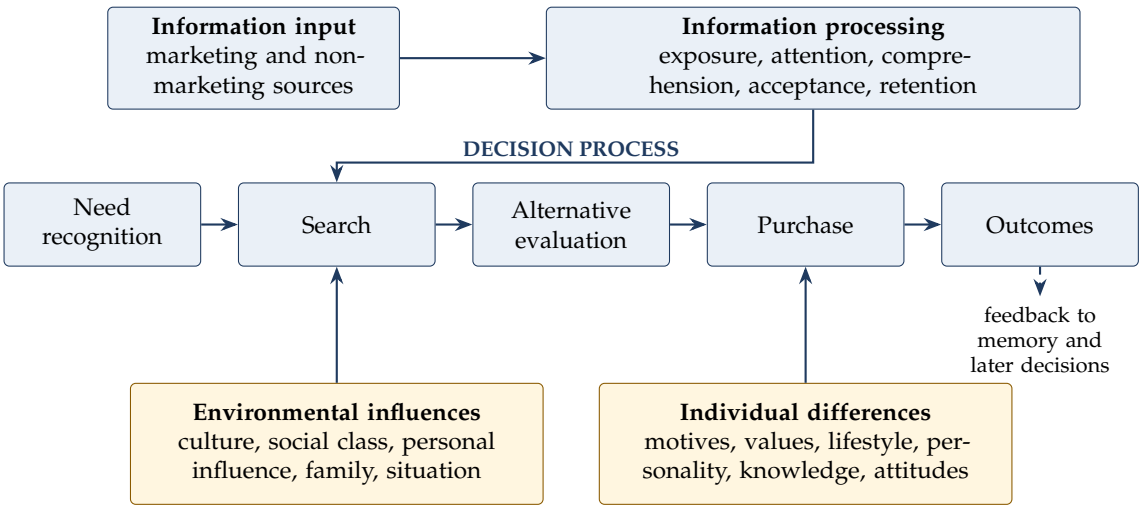
- Importance of the purchase, personality traits, social class, culture, organisational setting, time pressure and financial status. They affect the constructs but are not explained by the model.

Evaluation

Strengths	Limitations
Comprehensive: covers perception, learning and outside factors	Very complex, with many variables
Explains the move from EPS to RRB	Hard to test and measure the constructs
Includes feedback and a role for inhibitors	Better for repeat brand-choice than for first-time or infrequent buying
Shows the effect of firm and social stimuli	Some constructs overlap, and definitions are unclear

3.6 Engel–Kollat–Blackwell (EKB) Model

Developed by **James Engel, David Kollat and Roger Blackwell** in 1968 (later revised by Engel, Blackwell and Miniard as the **EBM model**). It shows consumer behaviour as a **decision process** influenced by individual and environmental factors. It is widely used in textbooks because it matches the stages of buying.



Main Components

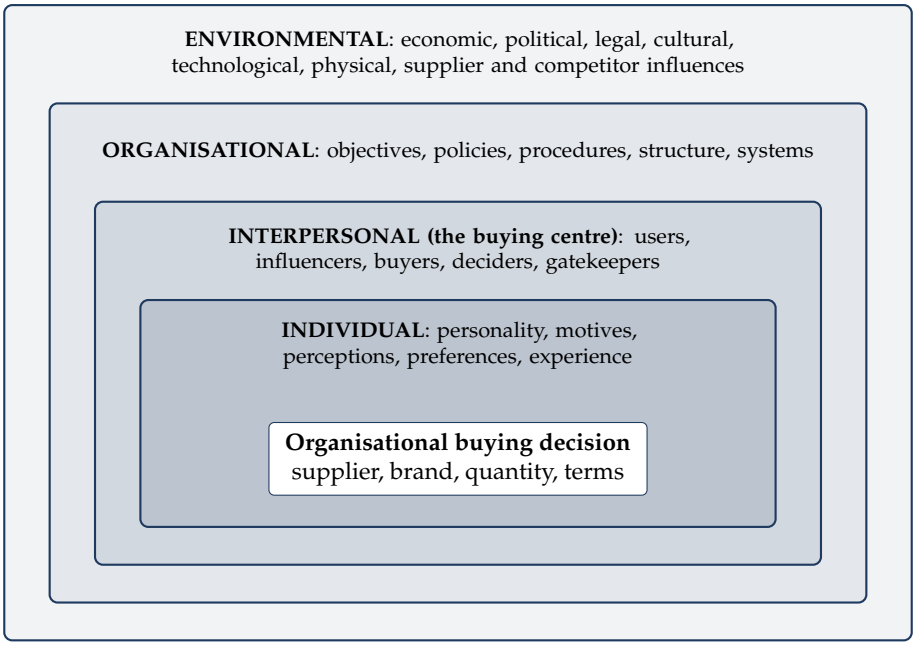
1. **Information input**: information from *marketing sources* (ads, salespeople) and *non-marketing sources* (friends, media, reviews).
2. **Information processing**: exposure → attention → comprehension → acceptance → retention. This is the filter through which stimuli pass before use in decisions.
3. **Decision process** (the central part):
   - *Need recognition*: perception of a gap between actual and desired state.
   - *Search for information*: internal (memory) and external.
   - *Alternative evaluation*: judging brands using criteria and beliefs, forming attitudes and intentions.
   - *Choice (purchase)*: selecting the brand and the outlet.
   - *Outcomes*: satisfaction or dissatisfaction (dissonance), which feeds back into memory.
4. **Variables influencing the decision process**:
   - *Environmental*: culture, social class, personal influence, family and the situation.
   - *Individual differences*: consumer resources, motivation and involvement, knowledge, attitudes, personality, values and lifestyle.

Evaluation

Strengths	Limitations
Clear stage-by-stage view of decision making	Assumes a rational, orderly sequence
Covers both individual and environmental influences	Stages may be skipped in routine or impulse buying
Includes feedback and information processing	Large and complex; hard to test in full
Useful for planning marketing action at each stage	Does not show relative weight of each variable

3.7 Webster and Wind Model (1972)

Frederick Webster and Yoram Wind's model explains **organisational (business-to-business) buying behaviour**. It stresses that organisational buying is done by **people in an organisation** who form a group, called the **buying centre**, and are influenced by four sets of variables.



The Four Sets of Variables

Variable set	Meaning	Examples
Environmental	Outside forces that affect the firm and its buying	Economic conditions, laws, technology, culture, supplier and competitor behaviour
Organisational	Features of the buying company	Objectives, policies, procedures, organisation structure, reward systems
Interpersonal	Relations among members of the buying centre	Authority, status, empathy, power, persuasion between members
Individual	Personal factors of each participant	Personality, motives, perceptions, learning, education, age

Roles in the Buying Centre

- **Users**: use the product (and often start the buying process).
- **Influencers**: affect the decision by giving information and setting specifications (engineers, consultants).
- **Buyers**: have formal authority to select suppliers and arrange terms (purchasing manager).
- **Deciders**: have the power to make the final choice.
- **Gatekeepers**: control the flow of information to others (secretaries, purchasing assistants).

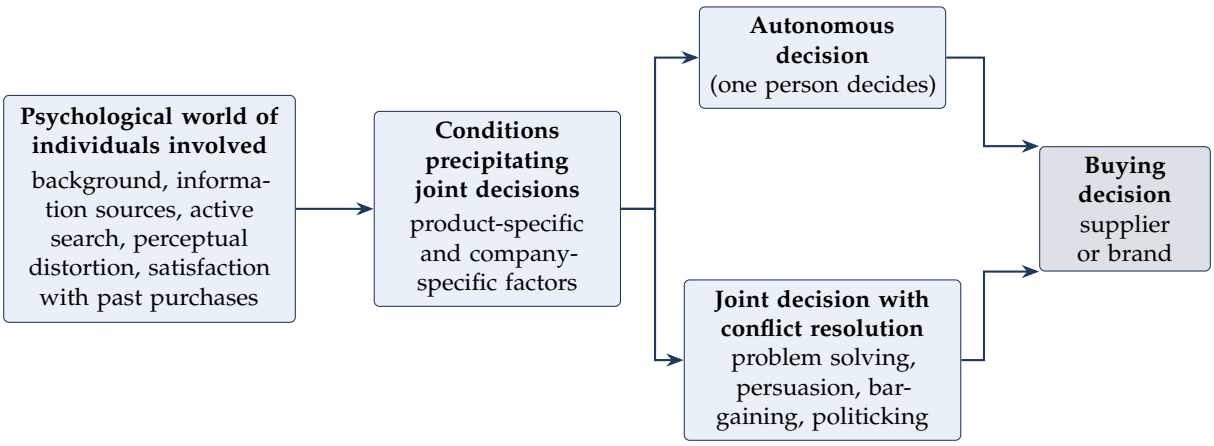
Features and Use

- Describes organisational buying as a **complex, multi-person, process** with **task** (economic) and **non-task** (personal) motives.
- Shows that suppliers must **understand the buying centre** and influence each role.
- Marketing use: identify who is in the buying centre, supply suitable information to each, build long-term relationships, and adapt to the buyer's organisational policies.

Limitations: very general; it does not show how the variables interact or their relative importance; it is difficult to test.

3.8 Sheth Industrial Buyer Behaviour Model (1973)

Jagdish Sheth's model explains **why organisational buying decisions are made, and how they are made, depending on whether one person or a group decides**. It focuses on the **psychological world of the individuals involved**, the **conditions that lead to joint decisions** and the **way conflict is resolved**.



Components

1. Psychological world of the individuals involved. Each person (purchasing agent, engineer, user, quality manager) has his or her own **expectations** about suppliers and brands. These expectations come from:

- **Background** (education, role, lifestyle).
- **Information sources** (salespeople, ads, trade shows, others).
- **Active search** for information.
- **Perceptual distortion** (selective perception of supplier information).
- **Satisfaction with past purchases**.

2. Conditions precipitating joint decision making. Whether the decision is **autonomous** (one person) or **joint** (group) depends on:

- **Product-specific factors**: *perceived risk* (higher risk leads to joint decisions), *type of purchase* (new task, modified rebuy, straight rebuy), and *time pressure* (pressure favours autonomous decisions).

- **Company-specific factors**: *orientation* (engineering, purchasing, etc.), *size* (large firms use more joint decisions) and *degree of centralisation* of decision making.

3. Conflict resolution. When people disagree in joint decisions, conflict is resolved by:

- **Problem solving**: collecting more information to reach agreement.
- **Persuasion**: appealing to common goals.
- **Bargaining**: exchange of favours and compromise.
- **Politicking**: use of power, coalitions and influence.

4. The outcome: the buying decision about the supplier or brand, which creates satisfaction or dissatisfaction that feeds back into the psychological world.

Evaluation and Marketing Use

- **Strengths**: highlights that organisational buyers are *people* with expectations; explains when decisions are joint; includes conflict resolution.
- **Limitations**: very detailed and hard to test; limited focus on the post-purchase stage.
- **Use**: identify the key participants, understand their expectations, give them targeted information, and prepare for conflicts within the buying group.

3.9 Comparison of Models

Model	Buyer type	Main idea	Strength	Weakness
Black Box	Consumer	Stimulus in, response out; mind unseen	Simple	Mind not explained
Economic	Consumer	Utility maximisation under budget	Pricing logic	Unrealistic
Howard	Consumer	Learning: EPS, LPS, RRB	Habit and loyalty	Dated, limited
Howard–Sheth	Consumer	Inputs, constructs, outputs, exogenous variables	Comprehensive	Complex
EKB	Consumer	Stages plus influencing variables	Stage clarity	Assumes order
Webster and Wind	Organisation	Four variable sets; buying centre	Group view	General
Sheth Industrial	Organisation	Joint vs. autonomous; conflict resolution	Psychological detail	Hard to test

Exam Tip

For a model-based question, **draw the diagram, name the components, explain briefly, then give strengths, limitations and a marketing use**. The first five models are for **consumer** buying, and the last two for **organisational** buying.

4 Consumer Protection Act, 1986

4.1 Background

Consumers in India often faced adulteration, short weights, defective goods, poor service and misleading ads, and civil courts were slow and costly. The **Consumer Protection Act, 1986 (COPRA)** was passed to give consumers a **simple, quick and inexpensive remedy**. It received presidential assent in December 1986 and came into force in 1987 (April 1987 for most provisions). The consumer movement, the United Nations Guidelines for Consumer Protection (1985) and growing consumer awareness lay behind the law.

Important Update

The Consumer Protection Act, 1986 has been **repealed and replaced by the Consumer Protection Act, 2019**, which came into force in July 2020. The 1986 Act is still studied because it set up the consumer protection system, and your syllabus lists it. A summary of the 2019 Act and a comparison are given in the next section.

4.2 Objectives of the Act

- To provide **better protection of the interests of consumers**.
- To make provision for **Consumer Protection Councils** to promote and protect consumer rights.
- To set up **consumer dispute redressal agencies** for quick settlement of disputes.
- To give **effective relief** for defective goods and deficient services.
- To **educate and make consumers aware** of their rights.

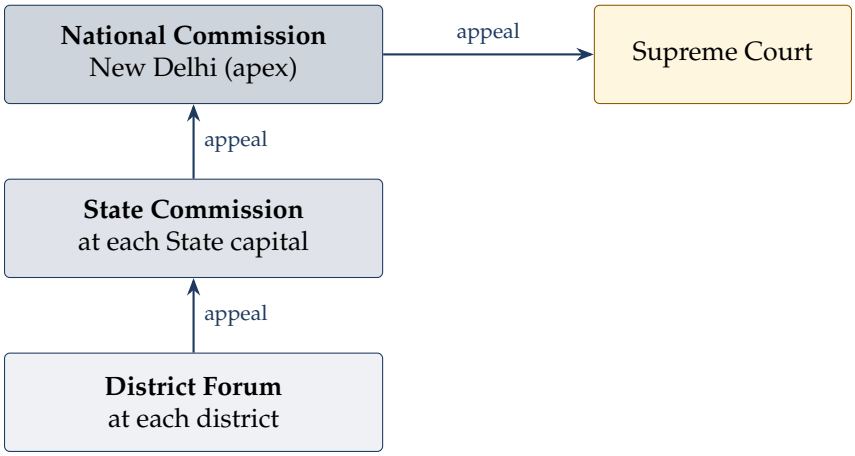
4.3 Scope and Applicability

The Act applied to **all goods and services** (including banking, insurance, transport, telecom, housing, medical services) unless the Central Government exempted them, and to the **public, private and cooperative sectors**. It covered the whole of India (initially except Jammu and Kashmir). Services given **free of charge** or under a **contract of personal service** were excluded.

4.4 Important Definitions

Term	Meaning under the Act
Consumer	A person who **buys goods** or **hires or avails of services** for a consideration (paid or promised, or partly paid). Includes the user with the buyer's approval. A person who buys goods for **resale or commercial purpose** is not a consumer.
Complainant	A consumer, a registered voluntary consumer association, the Central or State Government, or one or more consumers with the same interest; a legal heir or representative of a deceased consumer
Complaint	A written allegation that: (i) an unfair or restrictive trade practice was adopted; (ii) goods bought have defects; (iii) services have deficiency; (iv) a trader charged a price more than the price fixed or displayed; or (v) goods hazardous to life and safety are offered contrary to the law
Defect	Any fault, imperfection or shortcoming in the quality, quantity, potency, purity or standard of goods required to be maintained by law or claimed by the trader
Deficiency	Any fault, imperfection, shortcoming or inadequacy in the quality, nature or manner of performance of a service
Unfair trade practice	Use of unfair methods or deceptive practices to promote sale, such as false claims about quality, standard or price; false guarantees; misleading ads; bargain sales that are not genuine; hoarding or destruction of goods to raise price
Restrictive trade practice	Practice that restricts competition or manipulates prices, such as delaying supply to raise price, or forcing the buyer to buy other goods or services (tie-in sales)
Goods and service	Goods as in the Sale of Goods Act; service means services of any description, including banking, finance, insurance, transport, processing, electricity, housing, entertainment, but excluding free and personal service contracts

4.5 Three-Tier Redressal Machinery (Consumer Disputes Redressal Agencies)



Agency	Composition (broadly)	Pecuniary jurisdiction (after the 2002 amendment)	Appeal goes to
District Forum	A President (a person who is or was qualified to be a District Judge) and two members, one of whom is a woman	Claims up to Rs. 20 lakh	State Commission
State Commission	A President (a person who is or was a High Court Judge) and at least two members, one of whom is a woman	Above Rs. 20 lakh and up to Rs. 1 crore; appeals from District Forums	National Commission
National Commission	A President (a person who is or was a Supreme Court Judge) and at least four members, one of whom is a woman	Above Rs. 1 crore; appeals from State Commissions	Supreme Court

(Originally the limits were Rs. 5 lakh, Rs. 5–20 lakh and above Rs. 20 lakh. They were raised to the figures above by the 2002 amendment.)

4.6 Procedure for Filing a Complaint

1. The consumer sends a **notice** to the seller or service provider describing the problem (recommended).
2. A **written complaint** is filed with the appropriate District Forum, State Commission or National Commission, giving details, documents (bill, warranty, correspondence) and the relief sought.
3. A **nominal fee** is charged; no lawyer is compulsory.
4. The Forum sends the complaint to the opposite party, who has about **30 days (extendable by 15)** to respond.
5. If needed, the product is **tested** by an approved laboratory.
6. The Forum hears both sides and passes an order, aiming to decide within **3 months** (5 months if testing is needed).
7. **Appeal** within **30 days** to the next level.

Limitation period: a complaint must be filed within **two years** from the date the cause of action arose.

4.7 Reliefs Available to the Consumer

The Forum may order the opposite party to:

- **Remove the defect** from the goods or **replace** the goods with new goods of the same kind.
- **Return the price paid** (refund).
- **Pay compensation** for any loss or injury suffered due to negligence.
- **Remove the deficiency** in service.
- **Discontinue the unfair or restrictive trade practice** and not repeat it.
- **Withdraw hazardous goods** from sale.
- **Pay punitive damages** in suitable cases.
- **Issue corrective advertisement** to cancel misleading ads.
- **Pay the cost of the case** to the complainant.

Penalty for non-compliance: imprisonment of one month to three years, or a fine of Rs. 2,000 to Rs. 10,000, or both.

4.8 Consumer Protection Councils

- **Central Consumer Protection Council** (and **State Councils** and, later, District Councils): advisory bodies with official and non-official members.
- They promote and protect the **rights of consumers** (safety, information, choice, hearing, redressal, education).
- They **advise** the government and spread awareness.

4.9 Features and Advantages of the 1986 Act

- **Simple, quick and cheap** compared with civil courts.
- **Three-tier structure** close to the consumer.
- **Wide scope**: goods and services.
- **Rights recognised**: safety, information, choice, being heard, redressal and education.
- **Class actions and complaints by consumer associations** allowed.
- **Relief** beyond refund: replacement, compensation, punitive damages.

4.10 Limitations of the 1986 Act

- **Delays and backlog** of cases, with long adjournments.
- **Lack of awareness**, especially in rural areas.
- **No specific provisions** for product liability, e-commerce, unfair contracts or misleading advertisements.
- **Weak enforcement** of orders in some cases.
- **Limited protection against emerging practices** such as online selling, direct selling and teleshopping.

These gaps led to the Consumer Protection Act, 2019.

5 Consumer Protection Act, 2019 (Replacing the 1986 Act)

The Consumer Protection Act, 2019 was passed by Parliament in 2019 and **came into force in July 2020**, repealing the 1986 Act. It is designed for modern markets, including **e-commerce** and **digital transactions**.

5.1 Main Features

1. **Central Consumer Protection Authority (CCPA)**: a regulator to protect, promote and enforce consumer rights as a class. It can **investigate**, order **recall** of unsafe goods, order **refunds**, stop unfair trade practices and misleading ads, and **impose penalties**.
2. **Wider definition of consumer**: includes buyers of goods and services through **any mode**: offline, online, teleshopping, direct selling and multi-level marketing.
3. **Product liability**: manufacturers, service providers and sellers are liable for harm caused by **defective products or deficient services**.
4. **Misleading advertisements**: the CCPA can order discontinuing or modifying them, and impose penalties on manufacturers and **endorsers**. A penalty of up to Rs. 10 lakh (more for repeat offences) and a ban on the endorser may be imposed.
5. **Unfair contracts**: contracts that cause significant change in consumer rights (excessive security deposits, penalties, one-sided terms) can be declared void.
6. **E-commerce**: covers online sellers and marketplaces; the **Consumer Protection (E-Commerce) Rules, 2020** require display of seller details, grievance officers, refund and return policies, country of origin and price transparency.
7. **Simplified dispute resolution**: complaint can be filed where the **complainant lives or works**; **electronic filing** and **video-conferencing** are allowed; **mediation** cells are attached to the commissions.
8. **Revised pecuniary jurisdiction** (by rules in 2021): District Commission up to Rs. 1 crore, State Commission above Rs. 1 crore and up to Rs. 10 crore, and National Commission above Rs. 10 crore.
9. **Penalties and punishments** for false or misleading advertising, adulteration and spurious goods.
10. **Consumer Protection Councils** at the Central, State and District levels.

5.2 1986 Act vs. 2019 Act

Basis	1986 Act	2019 Act
Regulator	None at central level	**Central Consumer Protection Authority**
Redressal bodies	District Forum, State and National Commissions	District, State and National **Commissions** (the term "Forum" dropped)
Pecuniary limits	Rs. 20 lakh, Rs. 1 crore and above	Rs. 1 crore, Rs. 1–10 crore and above Rs. 10 crore (as per 2021 rules)
Territorial jurisdiction	Where opposite party works or lives	Also where the **complainant** lives or works
Product liability	Not covered separately	Detailed chapter on **product liability**
E-commerce and direct selling	Not covered	Covered; separate rules
Misleading ads and endorsers	Limited provisions	Penalties on advertisers and **endorsers**
Unfair contracts	Not covered	Covered by commissions
Mediation	Not provided	**Mediation cells** provided
Filing complaints	Mostly physical	**E-filing** and video hearing

5.3 Other Related Rules and Tools

- **National Consumer Helpline (1915)** for complaints and guidance, and the **e-Daakhil** portal for online filing.
- **CCPA guidelines** on misleading advertisements and on **dark patterns** (manipulative online design such as false urgency, hidden charges, forced actions).
- Other laws that protect consumers: the **Sale of Goods Act, 1930**, the **Bureau of Indian Standards Act** (standards marks), the **Food Safety and Standards Act, 2006**, the **Legal Metrology Act**, the **Competition Act, 2002** and the **Drugs and Cosmetics Act, 1940**.

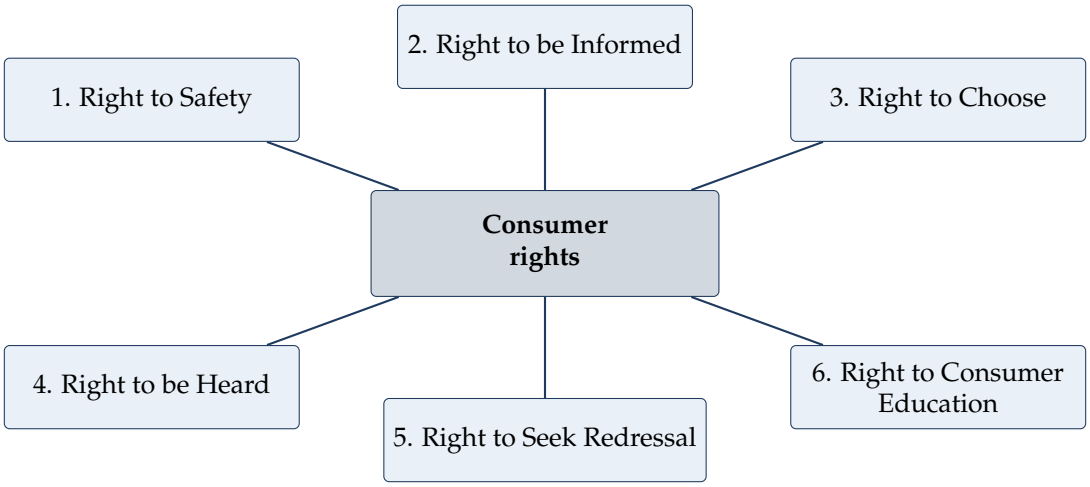
(Details of rules and guidelines are updated from time to time, so check the latest notifications for the current position.)

6 Rights of Consumers

6.1 Origin of Consumer Rights

- **1962**: US President **John F. Kennedy** declared four consumer rights: the right to **safety**, to **be informed**, to **choose** and to **be heard**.
- **1985**: the **United Nations Guidelines for Consumer Protection** gave countries a framework, and recognised the rights to consumer education, redress and basic needs.
- **1986**: India's Consumer Protection Act recognised **six rights**.
- **Consumers International** describes eight rights, adding **basic needs** and a **healthy environment**.

6.2 The Six Consumer Rights in India



1. Right to Safety

Meaning: the right to be **protected against goods and services that are hazardous to life and property**.

- Applies to food, medicines, electrical goods, vehicles, toys, cosmetics, and services such as transport and medical care.
- Consumers should look for **quality marks**: ISI/BIS, Agmark, FSSAI, Hallmark (gold), BEE star rating, and Ecomark.
- **Example:** a defective pressure cooker or helmet that fails safety standards; consumers can demand recall or compensation.

2. Right to be Informed

Meaning: the right to **get complete facts about quality, quantity, potency, purity, standard and price** of goods and services, so as to protect against unfair trade practices.

- Information on labels: **maximum retail price (MRP), net quantity, ingredients, date of manufacture, expiry, nutritional facts, warnings, country of origin, manufacturer's address and customer care number**.
- **Example:** medicines must show expiry date and composition; food packs must show veg/non-veg marks and allergens.
- Protects against misleading advertisements and hidden charges.

3. Right to Choose

Meaning: the right to be **assured, wherever possible, of access to a variety of goods and services at competitive prices**. In industries with monopoly, it means the right to satisfactory quality and service at a fair price.

- Against **monopoly, tie-in sales, forced bundling** and unfair restrictions.
- **Example:** a bank forcing insurance with a loan, or a shop refusing to sell one item without another.

4. Right to be Heard

Meaning: the right to be **heard and to be assured that consumer interests will receive due consideration** at suitable forums.

- Consumers can voice problems to companies, consumer councils, associations and government.
- Consumer representatives sit on bodies such as consumer protection councils and standards committees.
- **Example:** a customer complaint service or grievance officer must listen to the complaint.

5. Right to Seek Redressal

Meaning: the right to **seek redressal against unfair trade practices, restrictive trade practices or unscrupulous exploitation**, and to get fair settlement of genuine grievances.

- Through the **consumer commissions** (District, State and National), helplines and mediation.
- Reliefs: replacement, repair, refund, compensation, discontinuation of unfair practice, corrective advertising, costs.
- **Example:** a customer receives a faulty phone, the seller refuses to repair, so the customer files a complaint and gets a refund with compensation.

6. Right to Consumer Education

Meaning: the right to **acquire the knowledge and skills needed to be an informed consumer** throughout life.

- Includes awareness of rights, laws, product choices, safe use, and avoidance of frauds (such as online scams).
- Supported by schools, colleges, consumer organisations, the media, **National Consumer Day** (24 December in India) and **World Consumer Rights Day** (15 March).
- **Example:** learning to read labels, compare prices, spot fake reviews and report fraud.

6.3 Rights Under the 2019 Act

The 2019 Act, in its definition of consumer rights, keeps the same **six rights** and applies them to **online and offline** transactions. It also adds specific protections through its new provisions on **unfair contracts**, **product liability** and **misleading advertisements**.

6.4 Summary Table of Rights

Right	Protects against	Example tool
Safety	Hazardous goods and services	ISI, FSSAI, BEE ratings, recall orders
Information	Misleading claims, hidden facts	Labels, MRP, expiry date, disclosure rules
Choice	Monopoly, forced bundling	Competition law, tie-in ban
To be heard	Being ignored	Grievance officer, consumer councils
Redressal	Unfair trade practices, exploitation	Consumer commissions, helpline, e-Daakhil
Consumer education	Ignorance and fraud	Awareness campaigns, consumer days

6.5 Consumer Responsibilities

Rights come with duties. Consumers should:

- **Be aware**: question the price, quality and claims of products.
- **Take action**: assert their rights and complain when needed.
- **Be honest**: avoid black marketing, piracy and dishonest returns.
- **Insist on a bill** and keep warranty cards and records.
- **Check labels, standards marks and expiry dates**.
- **Be environmentally responsible**: avoid waste and choose sustainable products.
- **Be socially responsible** and show solidarity with other consumers.

6.6 Consumerism and the Consumer Movement

Consumerism

Consumerism is a **social movement that seeks to protect and strengthen the rights and power of consumers** in relation to sellers, by promoting safety, honest information, fair prices and redress of grievances.

- **Causes**: rapid growth of markets, adulteration, misleading ads, poor service, product hazards, increased awareness and education.
- **Consumer organisations** in India: Consumer Guidance Society of India (CGSI), VOICE, Consumer Education and Research Centre (CERC), CUTS, and many local consumer groups.
- **Role of the media and courts** in spreading awareness and giving relief.

6.7 Role and Ethical Responsibility of Marketers

Marketers should treat consumer rights as a **basis for trust** and long-term business.

- Provide **safe, good-quality products**, and recall faulty ones quickly.
- Give **honest information**: truthful labels, ads and prices.
- Offer **fair choice** and avoid forcing bundles.
- Run **easy and fast grievance systems** (helplines, chat, grievance officers).
- Carry out **consumer education** and responsible marketing.
- Follow **advertising codes** (such as ASCI) and laws.

Exam Tip

Remember the six rights with **SIC-HRE**: **S**afety, **I**nformation, **C**hoice, **H**eard, **R**edressal, **E**ducation. For the Act, remember the three tiers and the amounts: **District, State, National**.

7 Quick Revision Summary

Topic	One-line recall
Communication process	Sender, encoding, message and channel, decoding, receiver; noise and feedback
Promotion mix	Advertising, personal selling, sales promotion, PR, direct and digital
Response models	AIDA and the hierarchy of effects
Interpersonal system	Two-way, personal, high credibility, immediate feedback
Impersonal system	Mass media, one-way, wide reach, low cost per person
Persuasive communication	Source, message, channel, receiver; central and peripheral routes (ELM)
Black Box Model	Stimuli in, responses out, mind unseen
Economic Model	Rational utility maximiser; equi-marginal principle
Howard Model	Learning moves buyers from EPS to LPS to RRB
Howard–Sheth Model	Inputs, hypothetical constructs, outputs, exogenous variables
EKB Model	Information input, processing, decision stages, influencing variables
Webster and Wind	Organisational buying: four variable sets and the buying centre
Sheth Industrial Model	Psychological world, joint vs. autonomous decisions, conflict resolution
Consumer Protection Act 1986	Three-tier redressal; defects, deficiency, unfair practices; reliefs; 2 years limit
Consumer Protection Act 2019	Replaced the 1986 Act; CCPA, product liability, e-commerce, mediation
Consumer rights	Safety, information, choice, to be heard, redressal, consumer education